

The Pension Fund Regulatory and Development Authority (Central Recordkeeping Agency) Regulations, 2015

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The Pension Fund Regulatory and Development Authority (Central Recordkeeping Agency) Regulations, 2015

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The Pension Fund Regulatory and Development Authority (Central Recordkeeping Agency) Regulations, 2015

Rule

THE-PENSION-FUND-REGULATORY-AND-DEVELOPMENT-AUTHORITY-CENTRAL-RECORDKEEPING-AGENCY-REGULATIONS-2015 of 2015

Published on 27 April 2015

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The Pension Fund Regulatory and Development Authority (Central Recordkeeping Agency) Regulations, 2015

Published vide Notification No. PFRDA/12/RGL/139/7, dated 27.4.2015

Last Updated 31st July, 2018

No. PFRDA/12/RGL/139/7. - In exercise of the powers conferred by sub-section (1) of Section 52 read with clauses (e),(j), (k), (l), (n), (o) and (p) of sub-section (2) thereof of the Pension Fund Regulatory and Development Authority Act, 2013 (

23 of 2013

), the Pension Fund Regulatory and Development Authority hereby makes the following regulations, namely: -

Chapter I

Preliminary

1.

Short title and commencement.

(1)

These regulations may be called the Pension Fund Regulatory and Development Authority (central recordkeeping agency) Regulations, 2015.

The regulations aim to set standards for the eligibility, governance, organization and operational conduct of the Central Recordkeeping Agency and for providing centralized recordkeeping, administration and customer service functions to all subscribers.

(2)

They shall come into force on the date of their publication in the Official Gazette.

2.

Definitions.

(1)

In these regulations, unless the context otherwise requires, -

(a)

"Act" means the Pension Fund Regulatory and Development Authority Act, 2013 (23 of 2013

);

(b)

"auditor" means a person who is qualified to audit the accounts of a company under section 224 of the Companies Act, 1956 (

1 of 1956

);

(c)

"certificate" means a certificate of registration granted by the Authority under sub-section (3) of section 27 of the Act;

(d)

"company" means any entity formed and registered under Companies Act, 1956 (

1 of 1956

);

(e)

"compliance officer" means a person of responsibility from the central recordkeeping agency; designated as such and charged with the responsibility of monitoring compliance by it of the provisions of the Act or the rules or the regulations made or notifications, guidelines, circulars or instructions issued by the Authority there under;

(f)

"Drawing and Disbursing Officer" means a Drawing and Disbursing Officer (DDO) under Central Government or similar offices under it or the State Governments or an autonomous body which shall interact with the Pay and Accounts offices(or equivalent offices) or the central recordkeeping agency on behalf of the subscribers for the purpose of the National Pension System;

(g)

"I-Pin" means the Personal Identification Number used to authenticate the subscriber to log in central recordkeeping agency, National Pension System Contributions Accounting Network system through internet;

(h)

"Key Stakeholder or Stakeholder" shall include a person or a group of persons who has an interest in National Pension system or any other pension scheme regulated by the Authority, which includes subscribers, Ministries or Departments of Government of India, Autonomous Organizations under Government of India, Ministries or Departments of State Governments/ Union territories who have joined the National Pension System, Autonomous organizations under State Governments or Union territories, Institutions or Body Corporate in the Government or private sector or any other agency connected with development and promotion of National Pension System and or any other pension scheme

regulated by the Authority and all intermediaries registered with the Authority;

(i)

"National Pension System data" shall include-all proprietary data generated out of operation and transactions, documents and related information including but not restricted to subscriber data which central recordkeeping agency obtains, possesses or processes in the context of providing the services to the subscribers as specified in the regulations and the Service Level Agreement;

(j)

"nodal office" means the offices which act as interface between the subscribers and the central recordkeeping agency and shall include the Government offices like Principal Accounts Officer, Directorate of Treasuries and Accounts, Pay and Accounts Officer, District Treasury Office, Drawing and Disbursing Office as well as point of presences and the service providers in the unorganized sector and the National Pension System-Lite Oversight Office and the National Pension System-Lite Accounting Office under the National Pension System-Swavalamban of the National Pension System.;

(k)

"Pay and Accounts Office" (P&AO) means the pay and accounts office under the Central and state government(s) or similar offices under the Government of India or State government(s) or Union Territories or Autonomous bodies responsible for maintaining the contribution details for subscribers covered under National Pension System;

(l)

"PRAN" means the Permanent Retirement Account Number allotted as a unique identification number to each subscriber;

(m)

Principal officer means any person who is responsible for the activities of a central recordkeeping agency and shall include:

(i)

a whole time or executive director or managing director or Chief Executive Officer

(ii)

any key employee; and

(iii)

any person designated as a principal officer by central recordkeeping agency ;

(n)

"Service Level Agreement" (SLA) means the agreement interalia providing for quality and performance parameters, specified by Authority, which the central recordkeeping agency is expected to execute with other intermediaries.

(o)

"Third Party Systems" means the systems (or any part thereof) in which the intellectual property rights are owned by a third party and to which central recordkeeping agency has been granted a license to use and which are used in providing the services;

(p)

"T-Pin" means the number used to authenticate the subscriber in the Interactive Voice Response (IVR) system.

(2)

Words and expressions used and not defined in these regulations but defined in the Act, shall have the meanings respectively assigned to them in the Act.

Chapter II

Registration of Central Recordkeeping Agency

3.

[Application for grant of certificate of registration and application fee.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(1)

Any applicant meeting the eligibility criteria specified in these regulation, may apply for grant of a certificate of registration as a central recordkeeping agency, in such application form as may be determined by the Authority.

(2)

The registrations granted to existing central recordkeeping agency(s), prior to the notification of this amendment, shall

continue to remain valid and be in force for all purposes, for the original period so granted, along with any extension thereof, subject however that such central recordkeeping agency(s) may seek fresh registration in accordance with process specified under these amendments to regulations.

Provided, further that such existing central recordkeeping agency shall make an application as specified in these regulations and comply with the provisions of the Act and these regulations. The existing central recordkeeping agency shall pay all fees, so stipulated for the purpose, including the annual fee as specified under these regulations.

(3)

The Authority shall examine the eligibility of the applicants in terms of the provisions of the Act, rules and these regulations and any other criteria, so specified.

(4)

The allocation of the subscribers between the existing central recordkeeping agency and the other central recordkeeping agency or agencies, if appointed, shall be based on a transparent criteria and process as may be issued by the Authority from time to time having regard to the subscribers' interest. The central recordkeeping agency shall at all times comply with the provisions of the Act or the rules or the regulations made or directions, circulars or guidelines issued by the Authority there under. The central recordkeeping agency shall also ensure compliance of the quality of subscriber service or services to other intermediaries and ensure that intermediation and other operational costs under the National Pension System or any other pension scheme regulated or administered by the Authority are economical and reasonable.

(5)

A non-refundable application fee of rupees ten lakh shall be paid by an applicant along with its application to the Authority payable at New Delhi.

4.

Eligibility criteria.

- The eligibility criteria as specified under this regulation, shall have to be fulfilled by an applicant, seeking to obtain a certificate of registration to act as a central recordkeeping agency, on the day on which such application is presented to the Authority. The eligibility criteria, besides such other criteria, required to be fulfilled under these regulations, for grant of registration, shall be the following namely:-

(a)

the applicant shall be a company formed and registered under the Companies Act, 1956 (1 of 1956

) or the Companies Act, 2013 or under any other central enactment, and registered with the service tax authority and operating for the last five years in the country, preceding the date of application;

(b)

the applicant should have made net profit in any three out of the last five financial years, preceding the date of application, and should not have incurred cash loss during such preceding two years;

(c)

the applicant, its director, principal officer should not have been black listed by any regulatory Authority or Governments (Central and States) or should not have been convicted of any offence involving moral turpitude or of any economic offences;

(d)

Information technology capabilities and sufficiently qualified and experienced manpower, as per the guidelines including the requirements of service standards issued by the Authority for the purpose.

(e)

the amounts, numbers or figures, as applicable, in respect of the following criteria shall be specified by the Authority on the date of inviting applications for registration,-

(i)

The applicant should have minimum Tangible net worth of Rupees hundred crores, as on the last day of the preceding financial year, and the applicant should have demonstrated experience in developing and managing technology based central administration and recordkeeping system;

(ii)

The applicant should have experience of at least five years of performing central recordkeeping and administration

functions;

(iii)

The applicant should have experience in managing over five lakh individual accounts per year over the preceding three years, shall possess Information technology capabilities and sufficiently qualified and experienced manpower of at least hundred professional staff with at least fifty staff in the area of Operation & Technology Management;

(iv)

The applicant should have experience with developing and managing technology based central administration & recordkeeping system

(v)

The applicant should have minimum CMMI level three certification for the services being offered or should acquire the same within twelve months of commencement of commercial operations.

(vi)

A direct or indirect cross holding by any intermediary or its sponsor under the central recordkeeping agency should be less than forty percent of the paid up capital.]

5.

Disclosure of information.

(1)

The Authority, having regard to the interest of the subscribers may make disclosure to the public, the information on the application made by the applicant by placing such information on a website as specified by the Authority, including a website maintained by the applicant.

(2)

Any material change in the information furnished or placed on the website pursuant to these regulations shall be intimated to the Authority by the applicant promptly but not later than fifteen days of the occurrence of such change.

6.

Furnishing of information and clarification.

(1)

The Authority may require the applicant to furnish any further information or clarification, for the purpose of disposal of the application, and, thereafter, in regard to any other matter as may be deemed necessary by the Authority.

(2)

The applicant shall furnish such information and clarification to the satisfaction of the Authority, within the time specified in this regard by the Authority.

7.

Verification of information.

(1)

While considering the application, the information furnished by the applicant and its eligibility, the Authority may, if it so desires, verify the information in any manner it deems necessary, which may include physical verification of documents, office space and inspect the availability of office space, infrastructure and technological support which the applicant is required to have.

(2)

For the purpose of verification of information, the Authority may appoint any person including any of its officers or an external auditor or agency.

8.

Consideration of application.

(1)

For considering the eligibility of the applicant and grant of certificate to such applicant, the Authority shall take into account all matters which it deems relevant to the activities for record keeping under the National Pension System, or any other pension scheme referred to in clause(b) of sub-section (1) of section 12 of the Act, including but not limited to the following, namely: -

(a)

[whether the applicant satisfies the eligibility criteria specified in these regulations and also the terms and conditions specified in regulation 4;]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(b)

whether the grant of certificate is in the interest of subscribers and the objective of orderly development of pension sector or the National Pension System.

(2)

Any application for grant of certificate may be rejected on any of the following grounds, namely: -

(a)

if the application is not complete in all respects and does not conform to the requirements specified in these regulations or any selection criteria determined by the Authority on the date of inviting applications for registration;

(b)

if the application is unaccompanied with fee or relevant documents in support or the applicant fails to furnish such additional information as required by the Authority;

(c)

if the application contains incorrect, false or misleading information.

(d)

any other ground that the Authority may specify for consideration and rejection of application.

(3)

Where an application is rejected under clause (b) of sub-regulation (2), the Authority shall record reasons in writing:

Provided that before rejecting any such application, the Authority shall give the applicant an opportunity to remove the objection within such time as may be specified by the Authority:

Provided further that where an application is rejected for the reason that it contains false or misleading information, no such opportunity may be given and the applicant shall not make any application for grant of certificate under these regulations or any other regulations for a period of one year from the date of such rejection.

9.

Procedure for grant of certificate of registration.

- [(1) The applicant shall submit a proposal as specified under regulation 3. In order to be eligible for registration, the applicant shall be required to qualify, on the date of submission of its proposal, all the technical and commercial parameters as specified by the Authority.]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(2)

The Authority may grant the certificate of registration as a central recordkeeping agency on being satisfied that -

(a)

the application for registration is complete in all respects and is accompanied by all documents required therein;

(b)

all information given in the application form is correct;

(c)

the applicant submitting the application for registration is a bonafide entity and in its opinion, is likely to meet effectively its obligations as the central recordkeeping agency;

(d)

the financial condition and the general character of the management of the applicant are sound;

(e)

the scale of operations and the capital structure of the applicant shall be adequate;

(f)

the interests of the subscribers will be served if the certificate is granted to the applicant and it is competent to discharge its functions as a central recordkeeping agency.

(3)

[The Authority upon being satisfied that the applicant satisfies the eligibility criteria as laid down under the Act, the rules and as specified under these regulations, including the provisions of regulation 4, shall grant a certificate of registration to the Applicant in the form specified under Schedule I and send an intimation to this effect to the applicant.]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

10.

Conditions of certificate of registration.

(1)

Any certificate of registration granted by the Authority to an applicant shall be subject to the following conditions, namely,

-

(a)

where the applicant proposes to change its status or constitution, it shall obtain prior approval of the Authority for continuing to act as the central recordkeeping agency after such change in status or constitution;

(b)

[it shall at all times meet the eligibility criteria and other requirements as specified under these regulations:

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

Provided that the Authority may impose any other conditions as it may deem fit in the interest of subscribers or orderly development of the National Pension System or any other scheme regulated or administered by it or for regulation of the working of the central recordkeeping agency and the central recordkeeping agency shall comply with such conditions.]

(c)

it shall pay the applicable fees in accordance with these regulations;

(d)

it shall maintain separate books of accounts for all activities as central recordkeeping agency;

(e)

it shall abide by the provisions of the Act, regulations and the directions, guidelines, notifications and circulars as may be issued there under by the Authority;

(f)

it shall continuously comply with the disclosure of information;

(g)

it shall at all times comply with the code of conduct as specified in Schedule II.

(2)

A request for prior approval, under clause (a) of sub-regulation (1) which is complete in all respects shall be disposed off by the Authority within a period of sixty days from the date of receipt of such request and where the decision of the Authority has not been communicated to the applicant within the said period of sixty days, the prior approval shall be deemed to have been granted.

(3)

[Subject to compliance with the provisions of the Act, rules and regulations, the certificate granted to an applicant shall be valid, unless surrendered by the applicant with the approval of the Authority or suspended or cancelled by the Authority, in accordance with these regulations.]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

11.

Effect of refusal to grant certificate or expiry of certificate.

(1)

Where an existing central recordkeeping agency has failed to make an application or has been refused grant of certificate under these regulations, the central recordkeeping agency shall -

(a)

forthwith cease to act as the central recordkeeping agency;

(b)

transfer its activities to another entity which has been granted a registration certificate for carrying on such activity;

(c)

transfer the regulated assets to the new central recordkeeping agency or any other entity as directed by the Authority;

(d)

make provisions as regards liability incurred or assumed by the central recordkeeping agency;

(e)

take such other action, within the time limit and in the manner, as may be required under these regulations or as may be directed by the Authority.

(2)

While refusing grant of certificate under these regulations to a central recordkeeping agency, the Authority may impose such conditions as it deems fit for protection of subscribers' interest and that of other intermediaries and such conditions shall be complied with.

12.

Registration fee.

- A non-refundable registration fees of rupees twenty five lakh shall be paid by the applicant to the Authority.

13.

Annual fee.

(1)

The central recordkeeping agency shall pay an annual fee at the rate of 0.05 times of the service charges as specified in regulation 22 before the due date as may be specified by the Authority.

(2)

For the year in which the certificate of registration is granted, if the business is done for a part of the year, the central recordkeeping agency shall pay pro rata annual fee on quarterly basis within thirty days from the date of registration. In case, the central recordkeeping agency fails to deposit annual fees on or before the due date, the Authority shall have the right to cancel the certificate of registration of the central recordkeeping agency.

14.

Commencement of operations.

- [(1) An applicant granted a certificate of registration shall commence operations for which it has been authorized, within six months from the date of grant of such registration:

Provided that if the entity feels that it will not be able to commence the operations within the specified period, it may, before the expiry of the stipulated period of six months, seek an extension from the Authority, by making a written application, together with just cause to be shown.]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(2)

The Authority on receipt of the request may examine such request and communicate its decision in writing within a period not exceeding one month. In any case, no extension of time shall be granted by the Authority beyond twelve months from the date of grant of certificate of registration.

(3)

Before commencement of operations, the applicant shall ensure that it has executed all the agreements with other intermediaries or any other person as may be specified by the Authority.

15.

[Tenure and exit of central recordkeeping agency.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(1)

Subject to compliance with the provisions of the Act, the rules and regulations, the certificate of registration, granted to a central recordkeeping agency shall remain valid, unless suspended or cancelled by the Authority, or permitted to be surrendered by such central recordkeeping agency, for just cause to be shown. In the event of cancellation, the National Pension System Trust shall at least thirty days before the date of cancellation, deliver to the central recordkeeping agency, instructions as to the disposal or transfer of the information and regulated assets held by it.

(2)

The tenure of registration of the central recordkeeping agency shall be brought to an end, if the central recordkeeping agency contravenes any of the conditions or clauses stipulated in the certificate of registration, after following the due process as specified under these regulations.]

16.

[

[Omitted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

***]

16. Extension of registration.- The Authority shall through issue of a notice published in the leading newspaper initiate process for fresh registration of a central recordkeeping agency in accordance with these regulations, prior to ninety days or at such other time as may be specified before the date of expiry of tenure of the central recordkeeping agency or

may extend the tenure of such agency, for such period, as it may be determined in the interest of the subscribers. Such extension shall be granted for reasons to be recorded in writing. Any extension granted to the central recordkeeping agency upon expiry of tenure of registration shall be binding on the central recordkeeping agency and it shall discharge its functions in accordance with the terms of such extension.

17.

[Process of transfer of assets in case of termination or surrender of certificate of registration.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

- The treatment of the regulated assets at the end of central recordkeeping agency's tenure shall be as follows:-

- a. the central recordkeeping agency's software application shall be transferred at zero cost to the other central recordkeeping agency or any entity authorized for this purpose by the Authority;
- b. any third party software and components off the shelf specific to the central recordkeeping agency application system, shall also be transferred at zero cost to the other central recordkeeping agency or any other entity authorized for this purpose by the Authority;
- c. dedicated system-specific hardware (if any) both at the primary data center and the Disaster Recovery Center, shall be transferred as per the book value of these assets;
- d. database shall be transferred to the new central recordkeeping agency or any other entity at zero cost.
- e. any incidental costs on account of transfers, shall be borne by the transferor central recordkeeping agency.]

Chapter III

Functioning of Central Recordkeeping Agency-Roles, Responsibilities and Services

18.

[Roles and responsibilities of central recordkeeping agency.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(1)

The central recordkeeping agency shall generally be responsible for the centralized recordkeeping, administration and customer service functions for all the subscribers under the National Pension System or any scheme regulated or administered by the Authority in accordance with the provisions of the Act, rules and regulations made thereunder as also operational service level standards or any standard operating procedures or guidelines issued by the Authority.]

(2)

Primarily, the roles and responsibilities of the central recordkeeping agency shall be to -

(a)

build, maintain and operate the National Pension System infrastructure, setting up and operating the system including the National Pension System Central Accounting Network;

(b)

act as operational interface for all intermediaries under its system. This shall include interaction with all necessary external agencies to accomplish the operations and commissioning its functions as per regulations;

(c)

set up the Information Technology infrastructure in compliance with the proposed architecture and also developing or scaling up of the Information Technology infrastructure such as data center, disaster recovery center, network and connectivity, call center, centralized back office which includes its appointed Facilitation Center and other related infrastructure as specified in Schedule III;

(d)

develop, upgrade and maintain software application, data migration strategy and other software development artifacts such as system requirement specification, detailed software development plan and schedule, system analysis design report, solution architecture, user manuals and training manuals and other like manuals;

(e)

provide web based access to the Authority and the National Pension System Trust and role based access to other service providers like Trustee Bank, Government departments, pension funds, Point of presence, aggregators and annuity service providers as specified by the Authority;

(f)

provide a periodic Management Information System and information as called for to the Authority, the National Pension System Trust and the Ministry of Finance and to any specified department of the Central Government. Also provide

information to State Governments Management Information System and other information as per the terms and conditions of the agreement between it and the State Governments;

(g)

provide a dashboard view to any intermediary or the oversight offices like Principal Account Officer, District Treasury Authority, , which shall offer various information to facilitate effective monitoring by such offices;

(h)

assist the Authority and the National Pension System Trust in enforcement of operational guidelines of the Authority or the National Pension System Trust or service providers by providing the required data or information and reports on lapses and errors;

(i)

adapt the recordkeeping and administrative facility for future changes including changes on account of technology advancements, changes in system specifications including number of subscribers, number of pension fund and schemes, services and functional obligations specified by the Authority;

(j)

develop various new functionalities or utilities and establish new processes, provide multiple models of interface for the uploading offices to provide maximum flexibility in terms of operation and for the benefits of the subscribers;

(k)

continue with enhancements and development of modules to address changing requirements of various stakeholders;

(l)

maintain absolute confidentiality of all records, data and information including subscribers' personal information and data. Produce all this information as and when called for by the Authority or when required by the National Pension System Trust or any other entity authorized by the Authority;

(m)

ensure suitable system driven mechanism to avoid duplication across all sectors;

(n)

base on the Authority's or authorization and approval, it shall interact and coordinate with other stakeholders under the National Pension System, as per the requirement and to ensure subscribers interests;

(o)

comply with the service level agreements with the National Pension System Trust and other intermediaries or stakeholders as may be specified by the Authority;

(p)

any other related function necessary for efficient functioning of its system.

(3)

The Authority may, in the interest of the subscribers, add, delete or modify or alter the roles and responsibilities or operational and technical parameters as mentioned in sub-regulations (1) and (2) through circular or guidelines or notification issued from time to time.

19.

[Service to stakeholders or intermediaries.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

- The central recordkeeping agency is required to establish necessary system and procedure, in order to facilitate record keeping, administration and customer service functions including various statements, Management Information Systems and reports across various stakeholders or intermediaries of National Pension System Architecture viz. subscribers, Trustee Bank, nodal offices (Pay and Accounts Office or Drawing and Disbursal Officer or District Treasury Officer or District Treasury Authority), point of presence, other service providers, pension funds and annuity service providers in accordance with the provisions of the Act, rules and regulations, or any guidelines or directions or standard operating procedures issued by the Authority. The central recordkeeping agency shall be required to furnish various reports or information to the nodal offices, the Authority or the National Pension System Trust from time to time or as may be required. The various types of the Management Information System reports generated by the central recordkeeping agency, shall include,—

(a)

number of Permanent Retirement Account Number issued on a daily basis and Permanent Retirement Account Number

request pending;

(b)

funds deposited with the Trustee Bank;

(c)

error or discrepancy or exception reports on the National Pension System Contributions Accounting Network or pension funds or Trustee Bank;

(d)

scheme preferences report;

(e)

monthly or quarterly or periodic reports, as may be specified;

(f)

Service Level Agreements compliance reports (service levels and Information Technology infrastructure performance);

(g)

status of complaints(nodal offices, point of presence, other service providers);

(h)

complaints resolution status reports;

(i)

performance report of pension funds, nodal offices, point of presence, other service providers;

(j)

compliance reports on pension funds and annuity service providers and other stakeholders;

(k)

report on errors, lapses and discrepancies of pension funds, nodal offices, point of presence, other service providers;

(l)

any other reports as required by the Authority or the National Pension System Trust.

Generation of these reports shall be automated and system driven with suitable audit trail. The application so designed shall provide a view for the Departments, the Authority or the National Pension System Trust to access the reports automatically. In addition, application should also provide the necessary functionalities for generation of queries on variety of information contained in the central recordkeeping agency database. The query results shall be exportable to desired formats as per the requirements of the National Pension System Trust. The National Pension System Trust shall be able to demand any other information/clarification required thereof through the interface.]

20.

The central recordkeeping agency shall provide the following functional architecture as per the service requirements of various stakeholders, namely:

-

(a)

the central recordkeeping agency interface. - This function of the central recordkeeping agency primarily arises due to its interfacing requirements associated with the service delivery needs to various stakeholders. The functional architecture shall permit transactions of all types to be undertaken by customers and entities such as Permanent Retirement Account Number account opening, pension fund transfer information, switching investment preference, registering grievances, and other activities. The system shall be vastly scalable, secure and reliable and should have the necessary structure for incorporating future requirements associated with service delivery by the intermediaries under the National Pension System;

(b)

the central recordkeeping agency activities. - In order to ensure delivery of the services it shall take up necessary activities for processing the information obtained from stakeholders. These activities include, but not limited to, consolidated contribution and switching, instruction, Permanent Retirement Account Number, account generation, compile retirement information, trustee account reconciliation, post fund returns. The functional architecture shall have the provision for adding any additional stakeholder instruction into the overall structure as per the requirements of the Authority;

(c)

the central recordkeeping agency data. - It shall maintain a repository of data to support interfacing requirements and

activities under the National Pension System. This includes maintaining amongst other, data relating to subscribers, accounting, investment, pension contribution, pension funds scheme performance, Trustee Bank communication, participating states ,organizations, pension funds and annuity service providers;

(d)

modification of role, function or functional parameters. - The Authority may modify the role, functions or operational parameters of the central recordkeeping agency as may be specified by it through circular or guideline or notification.

21.

Service levels for central recordkeeping agency.

- The central recordkeeping agency shall adhere to various service levels as specified by the Authority or as required by the National Pension System Trust, in course of developing application, setting up of Information Technology infrastructure and overall operations and maintenance activities. The service levels with respect to performance requirements shall cover the following key parameters, as applicable, for all components under the central recordkeeping agency's scope, -

(a)

availability;

(b)

scalability;

(c)

security;

(d)

manageability;

(e)

performance;

(f)

reliability;

(g)

maintenance;

(h)

extendibility;

(i)

interoperability.

There shall be strict adherence to the stated service levels and shall be monitored by the National Pension System Trust. The National Pension System Trust shall reserve the right to appoint an external agency to audit the compliance to service levels as well as all security and performance components. The central recordkeeping agency shall be required to strictly adhere to all the service levels specified by the Authority or as required by the National Pension System Trust under the following categories, namely: -

(i)

service operations and maintenance for each stakeholder under the National Pension System;

(ii)

performance requirements with respect to application, architecture and technology platform, network, hardware and human resources and other like things as may be specified by the Authority.

22.

[Service fees or charges-charges.

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

(1)

For providing services to the subscribers, as specified under these regulations, the central recordkeeping agency shall be entitled to collect service charges, in such mode and manner, as may be approved by the Authority, subject however that such fee or charges shall be determined through a price discovery process to be initiated by the Authority, after issuance of guidelines for such price discovery.

(2)

The process mentioned under sub-regulation (1) shall be initiated by the Authority, upon notification of these provisions

or regulations and thereafter upon conclusion of every five year period, from the last of such price discovery process. Provided that in case of an applicant who has been granted registration, after the price discovery process, shall offer its services as a central recordkeeping agency, at such of the price, as per the guidelines on price discovery issued by the Authority and until the next determination through a fresh price discovery process.

Provided that an existing central recordkeeping agency registered with the Authority through a selection process after the notification of Act and regulations there under, shall continue to offer the services at the same price, on the basis of which such registration has been originally granted and for such period. Pursuant to expiry of the original period, such central recordkeeping agency shall be entitled to offer its services, at such of the price, as per the guidelines on price discovery issued by the Authority.]

23.

Exit management Plan.

- The central recordkeeping agency shall prepare and provide the Authority an exit management plan covering in detail the aspects specified in these regulations. Such exit management plan for the first time shall be provided to the Authority on or before the date specified by the Authority and thereafter, for every completed twelve months following the specified date. The same may be updated and provided to the Authority within fifteen days of the expiry of the preceding twelve months. The cost of preparation of such exit management plan shall be borne by the central recordkeeping agency. The exit management plan shall contain the details thereof including the following: -

(a)

a detailed program of the transfer process that shall be used in conjunction with a replacement agency and the National Pension System Trust, including details of the means to be used to ensure continuing provision of the services throughout the transfer process or until the cessation of the services and of the management structure during the transfer;

(b)

modalities for communication with the central recordkeeping agency's sub-contractors, staff, suppliers, service providers and any related third party as are necessary to avoid any detrimental impact on the project's operations as a result of the transfer;

(c)

provisions for contingent support to the replacement agency for a reasonable period after the transfer.

24.

Redressal of subscriber grievances.

- The overall responsibility of the central recordkeeping agency for redressal of subscriber grievances shall be as provided under the Pension Fund Regulatory and Development Authority (Redressal of Subscriber Grievance) Regulations, 2015.

25.

Separation of National Pension System accounts and activities from other businesses.

- The central recordkeeping agency shall ensure that its activities and business and other matters related to National Pension System including, maintenance of accounts, income, expenditure, flow of funds, records, data and regulated assets in respect of the National Pension System are maintained separately.

Chapter IV

Inspection and Audit

26.

Inspection and audit.

(1)

The Authority may, if it considers necessary at any time, undertake directly or through its authorized representative or auditor an inspection and audit of the books, accounts, records including the telephone records and electronic records and documents of the central recordkeeping agency for any purpose, including the purposes as specified under this regulation.

(2)

The purposes referred to in sub-regulation (1) may include, -

(a)

to ascertain the infrastructural capabilities, systems and procedures;

(b)

to ensure that the books of account, records including telephone records and electronic records and documents are being maintained in the manner required under these regulations;

(c)

to ascertain whether adequate internal control systems, procedures and safeguards have been established and are being followed by the central recordkeeping agency;

(d)

to ascertain whether the provisions of the Act or the rules or regulations made thereunder or circulars, guidelines or notifications issued by the Authority are being complied with;

(e)

to inquire into the complaints received from subscribers, nodal offices, intermediaries or any other person on any matter having a bearing on the activities assigned by the Authority to the central recordkeeping agency;

(f)

to inquire suomotu into such matters as may be deemed fit in the interest of subscribers.

(3)

The Authority may, -

(a)

appoint one or more authorized representatives or, appoint a qualified auditor to undertake the inspection or audit referred to in sub-regulation (1);

(b)

appoint a qualified valuer or direct a qualified valuer to be appointed by the central recordkeeping agency, if so considered necessary by the Authority and the expenses for carrying out any valuation under this clause shall be borne by the central recordkeeping agency.

Explanation. - For the purposes of this sub-regulation, the expression "qualified auditor" shall have the meaning derived from section 226 of the Companies Act, 1956 (

1 of 1956

).

27.

Notice before inspection or audit

(1)

Before undertaking an inspection or audit under regulation 26, the Authority or its authorised representative or the auditor shall give ten working days' notice to the central recordkeeping agency:

Provided that no notice shall be required if the Authority is satisfied that an inspection or audit is required for immediate safeguarding of the interest of the subscribers.

(2)

During the course of an inspection or audit, the central recordkeeping agency against whom the inspection or audit is being carried out shall be bound to discharge its obligations as provided in these regulations.

28.

Obligations on inspection and audit.

(1)

It shall be the duty of the central recordkeeping agency, the affairs of which is being inspected or audited, and of every director, officer and employee thereof, to produce to the Authority, or its authorized representative or auditor, such books, accounts, records and other documents in its custody or control and furnish to it or him with such statements and information relating to the activities entrusted to it by the Authority, as it or he may require, within such reasonable period as may be specified.

(2)

The central recordkeeping agency shall allow the Authority or its authorized representative or the auditor to have a reasonable access to the premises occupied by it or by any other person on its behalf and also extend reasonable facility for examining any books, records, documents and computer data in the possession of the central recordkeeping agency or such other person and also provide copies of documents or other materials which in the opinion of the Authority or its authorized representative or auditor are relevant for the purpose of the inspection or audit.

(3)

It shall be the duty of the central recordkeeping agency to give to the Authority, or its authorized representative or auditor all assistance in connection with the inspection and audit which the Authority or its authorized representative, or auditor may reasonably require.

29.

Submission of report.

(1)

On completion of the inspection or audit, a report shall be submitted to the Authority, which after consideration of the report, may take such action as it may deem fit and appropriate in the interest of the subscribers.

(2)

The Authority may suo motu or after consideration of the inspection or audit report, as the case may be, order an investigation or inquiry to be conducted in the matter.

30.

Payment of inspection and audit fees.

- The Authority shall be entitled to recover from the central recordkeeping agency such expenses incurred by it for the purposes of inspection or audit undertaken directly or through its authorized representative under sub-regulation (1) of regulation 26.

31.

Inspection and audit by National Pension System Trust.

(1)

The National Pension System Trust shall undertake directly or through its authorized representative, inspection or audit or both of the central recordkeeping agency, on an annual basis or at such other period as may be specified by the Authority in relation to operational Service Level Agreements in accordance with the provisions of Pension Fund Regulatory and Development Authority (National Pension System Trust) Regulations, 2015. The central recordkeeping agency shall allow the National Pension System Trust, or its authorized representative to have a reasonable access to the premises occupied by it, books of accounts, records, technology infrastructure, subscriber data and provide necessary information as may be required by it for the purpose of such inspection or audit, as the case may be. -

(2)

The National Pension System Trust shall be entitled to recover from the central recordkeeping agency such expenses incurred by it for the purposes of inspection or audit undertaken directly or through its authorized representative.

(3)

The scope of audit or inspection may be modified by the Authority as may be specified from time to time.

Chapter V

Suspension or Cancellation of Certificate and Action in Case of Default

32.

Cancellation or suspension of certificate of registration.

(1)

Where any central recordkeeping agency which has been granted a certificate of registration under these regulations -

(a)

fails to comply with any conditions subject to which a certificate of registration has been granted to it;

(b)

contravenes any of the provisions of the Act, rules or regulations made or any guidelines or notifications, directions, instructions or circulars issued there under;

(c)

contravenes any of the provisions of the agreements entered into with other intermediaries;

(d)

indulges in unfair trade practices or conducts its business in a manner prejudicial to the interests of the subscribers;

(e)

fails to furnish any information as required by the Authority relating to its area of operations;

(f)

does not submit periodical returns as required under the Act or by the Authority or NPS Trust;

(g)

does not cooperate in an inquiry conducted by the Authority;

(h)

commits any acts of defaults as mentioned under section 28 of the Act;

(i)

any other reason which in the opinion of the Authority warrants for suspension, cancellation or withdrawal of the certificate of registration granted.

The Authority may, without prejudice to any other action under the Act, regulations, directions, instructions or circulars issued there under, by order take such action in the manner provided under these regulations including cancellation or suspension of the registration of such central recordkeeping agency and such other action, as may be deemed appropriate:

(2)

The Authority may without prejudice to the powers under sub-regulation (1) instead of cancelling or suspending the certificate of registration, direct for varying or modifying the terms and conditions of the certificate of registration, as it may deem fit or pass any other order, as may be deemed beneficial in the interest of the subscribers.

(3)

The Authority may resort to any measures including appropriation of the regulated assets of the central recordkeeping agency as specified under sub-section (3) of section 21 of the Act.

(4)

The central recordkeeping agency once registered shall have to ensure that the eligibility conditions as mentioned in these regulations are strictly adhered to during the entire currency of the registration period and any extension thereto, failing which the registration certificate may be cancelled. A certificate evidencing compliance with the eligibility conditions shall have to be furnished by the registered central recordkeeping agency to the Authority on annual basis within thirty days of closure of accounts for the financial year.

33.

Surrender of any certificate of registration.

(1)

Any central recordkeeping agency, which has been granted a certificate of registration under the Act or the regulations made thereunder, desirous of giving up its activity and surrendering the certificate, may make a request for such surrender to the Authority.

(2)

While disposing of a request under these regulations, the Authority may require the concerned central recordkeeping agency to satisfy the Authority of the factors as it deems fit, including but not limited to the following: -

(a)

the arrangements made by the central recordkeeping agency at its own costs and expenses for maintenance and preservation of records and other documents required to be maintained under the Act, rules and regulations and guidelines;

(b)

redressal of subscriber grievances;

(c)

transfer of records, regulated assets at its own cost and expense;

(d)

the arrangements made by it for ensuring continuity of service to the subscribers;

(e)

defaults or pending actions, if any.

(3)

While accepting the surrender request, the Authority may impose such conditions upon the central recordkeeping agency as it deems fit for the protection of interest of the subscribers of the National Pension System and the central recordkeeping agency concerned shall comply with such conditions.

(4)

No central recordkeeping agency shall be permitted to surrender its certificate, in respect of which any action for default

has been initiated or has been contemplated by the Authority.

34.

Effect of suspension, cancellation or surrender of certificate.

(1)

On and from the date of suspension or cancellation of the certificate, the concerned central recordkeeping agency shall -

(a)

not undertake any additional assignment or collect any new information from the subscriber. During the period of suspension of the certificate, it shall cease to carry on any activity in respect of which the certificate of registration had been granted;

(b)

allow its subscribers to transfer, as the case may be, their records, money or assignments or allow the National Pension System Trust to withdraw any assignment given to it, without any additional cost;

(c)

make provisions as regards liabilities incurred or assumed by it;

(d)

take such other action including the action relating to any records or documents and information of the subscribers that may be in the custody or control of such central recordkeeping agency, within the time limit and in the manner, as may be required under the relevant regulations or as may be directed by the Authority, while passing the order under these guidelines or otherwise;

(e)

transfer or dispose of the regulated assets in the manner as may be directed by the Authority at its own cost.

(2)

On and from the date of surrender or cancellation or suspension of the certificate of registration, the concerned central recordkeeping agency shall, -

(a)

return the certificate of registration so cancelled to the Authority and shall not represent itself to be a holder of the certificate of registration for carrying out the activity for which such certificate had been granted;

(b)

cease to carry on any activity in respect of which the certificate had been granted;

(c)

transfer its activities to another central recordkeeping agency, as directed by the Authority, holding a valid certificate of registration to carry on such activities and allow its subscribers to transfer their records or assignments to the transferee entity, without any additional cost;

(d)

make provisions as regards liability incurred or assumed by it;

(e)

take such other action including the action relating to any records or documents and assets of the subscribers that may be in the custody or control of such central recordkeeping agency, within the time limit and in the manner, as may be required under the relevant regulations or as may be directed by the Authority while passing order under these guidelines or otherwise;

(f)

transfer or dispose of the regulated assets in the manner as may be directed by the Authority.

35.

Appointment of designated authority.

(1)

Where it appears to the designated member that any central recordkeeping agency which has been granted certificate of registration under the Act, these regulations or any other concerned person has committed any default of the nature specified in regulation 32, he may appoint an officer not below the rank of a Chief General Manager, or any other officer of an equivalent rank as a designated authority.

(2)

No officer who has conducted investigation or inspection in respect of the alleged violation shall be appointed as a

designated authority.

36.

Issuance of notice.

(1)

The designated authority shall, if it finds reasonable grounds to do so, issue a notice to the central recordkeeping agency or any other concerned person requiring it to show cause as to why the certificate of registration granted to it, should not be suspended or cancelled or why any other action provided herein should not be taken.

(2)

Every notice under sub-regulation (1) shall specify the contravention alleged to have been committed by the noticee indicating the provisions of the Act, regulations, directions or circulars in respect of which the contravention is alleged to have taken place.

(3)

There shall be annexed to the notice issued under sub-regulation (1) copies of documents relied on in making of the imputations and extracts of relevant portions of documents, reports containing the findings arrived at in an investigation or inspection, if any, carried out.

(4)

The noticee shall be called upon to submit within a period to be specified in the notice, not exceeding twenty-one days from the date of service thereof, a written representation to the designated authority.

37.

Reply by noticee.

(1)

The noticee shall submit to the designated authority its written representation within the period specified in the notice along with documentary evidence, if any, in support thereof:

Provided that the designated authority may extend the time specified in the notice for sufficient grounds shown by the noticee and after recording reasons of extension in writing.

(2)

If the noticee does not reply to the show-cause notice, within the time granted for the purpose, the designated authority may proceed with the matter exparte recording the reasons for doing so and make recommendation as the case may be on the basis of material facts available before him.

38.

Action in case of default.

- After considering the representations, if any, of the noticee, the facts and circumstances of the case and applicable provisions of the Act, regulations, directions or circulars administered by the Authority, the designated authority shall submit a report, where the facts so warrant, recommending, -

(a)

suspension of certificate of registration for a specified period;

(b)

cancellation of certificate of registration;

(c)

prohibiting the noticee to take up any new assignment or contract or launch new scheme for the period specified in the order;

(d)

debarring a principal officer of the noticee from being employed or associated with any registered intermediary or other registered person for the period specified in the order;

(e)

debarring a branch or an office of the noticee from carrying out activities for the specified period;

(f)

The Authority may resort to any measures including appropriation of the regulated assets of the central recordkeeping agency as specified in sub-section (3) of section 21 of the Act;

(g)

warning the noticee.

39.

Procedure for action on recommendation.

(1)

On receipt of the report recommending measures from the designated authority, the designated member shall consider the same and issue a show-cause notice to the noticee enclosing a copy of the report submitted by the designated authority calling upon the noticee to submit its written representation as to why the action, including passing of appropriate direction, should not be taken.

(2)

The noticee may, within twenty one days of receipt of the notice send a reply to the designated member who may pass appropriate order after considering the reply, if any received from the noticee and providing the person with an opportunity of being heard, as expeditiously as possible and endeavor shall be made to pass the order within one hundred and twenty days from the date of receipt of reply of the notice or hearing.

(3)

The designated member may pass a common order in respect of a number of noticees where the subject matter in question is substantially the same or similar in nature.

40.

Intimation of order.

(1)

Every report made by a designated authority and every order passed by the designated member under these regulations shall be dated and signed.

(2)

A copy of the order passed under these regulations shall be sent to the central recordkeeping agency or any person concerned and also placed on the website of the Authority.

41.

Penalty and adjudication.

- The imposition of penalty, if any, on the central recordkeeping agency or any person concerned shall be in accordance with the provisions of the Act and the Pension Fund Regulatory and Development Authority(Procedure for Inquiry by Adjudicating Officer) Regulations, 2015.

42.

Appeals to Securities Appellate Tribunal.

- The central recordkeeping agency or any person concerned, aggrieved by an order under these regulations may, prefer an appeal to the Securities Appellate Tribunal against such order in accordance with the provisions of sub-section (1) of section 36 of the Act.

Explanation. - For the purposes of this Chapter, -

(a)

"designated authority" means an officer of the Authority appointed under sub-regulation (1) of regulation 35;

(b)

"designated member" means the Chairperson or a whole-time member of the Authority designated for the purpose;

(c)

"noticee" means the person to whom a notice has been issued under this Chapter.

Chapter VI

Miscellaneous

43.

Confidentiality.

- The central recordkeeping agency shall maintain absolute confidentiality with respect to all records, data and information received or acquired by it during the course of its working. It shall not, without the prior permission of the Authority, produce or share such data or information as evidence, or for any other purpose, except as required by the due process of law

44.

Management by administrator.

- Without prejudice to the powers of the Authority under section 31 of the Act, if at any time the Authority has reason to

believe that the central recordkeeping agency is acting in a manner likely to be prejudicial to the interest of subscribers, it may, after giving the central recordkeeping agency an opportunity of being heard, make a report thereon to the Central Government. If the Central Government, after considering the report is of the opinion, that it is necessary or proper to do so, it may appoint an Administrator to manage the affairs of the central recordkeeping agency, as the case may be, under the direction and control of the Authority, in such manner as may be specified by notification.

45.

Conflict of interest.

- The central recordkeeping agency shall avoid conflict of interest and make adequate disclosure of its interest and shall put in place a mechanism to resolve any conflict of interest situation that may arise in the conduct of its business or where any conflict of interest arises, shall take reasonable steps to resolve the same in an equitable manner. The central recordkeeping agency shall make appropriate disclosure to Authority of its possible source or potential areas of conflict of duties and interest while acting as the central recordkeeping agency which would impair its ability to render fair, objective and unbiased services.

46.

Compliance and corporate governance.

(1)

The central recordkeeping agency shall ensure that good corporate policies and corporate governance is in place. It shall not engage in fraudulent and manipulative transactions and shall not indulge in any unfair competition including resorting to unfair means for inducing another intermediaries' of the Authority, which is likely to harm the interests of other intermediaries or subscribers or is likely to place such other intermediaries in a disadvantageous position while competing for or executing any assignment

(2)

The central record keeping agency shall take adequate and necessary steps to ensure that continuity in data and record keeping is maintained and that the data or records are not lost or destroyed. It shall also ensure that for electronic records and data, up-to-date back up is always available with it.

(3)

The central recordkeeping agency shall comply with the directions given to it by the Authority, and shall co-operate with any person or entity designated by the Authority, as and when required and shall not make any untrue statement or suppress any material fact in any documents, reports, papers or information furnished to the Authority or neglect or fail or refuse to submit to the Authority or other agencies with which it is registered, such books, documents, correspondence and papers or any part thereof as may be demanded or requested from time to time.

(4)

The central recordkeeping agency shall ensure that any change in its registration status or any penal action taken by the Authority or any material change in financials which may adversely affect the interests of other intermediaries or subscribers is promptly informed to the Authority and any business remaining outstanding is transferred to another registered person in accordance with any instructions of the Authority and as per the provisions of the relevant regulations.

(5)

The central recordkeeping agency shall maintain an appropriate level of knowledge and competency and abide by the provisions of the Act, rules, regulations, circulars and guidelines issued by the Authority, Central Government, or any other applicable statutory or regulatory body, as the case may be.

(6)

The central recordkeeping agency shall ensure that the Authority is promptly informed about any action, or legal proceedings initiated against it in respect of any material breach or non-compliance by it, of any law, rules, regulations, and directions of the Authority or of any other regulatory body.

47.

Appointment of Compliance officer.

(1)

The central recordkeeping agency must appoint a compliance officer who shall be responsible for monitoring compliance by it of the provisions of Act, rules and regulations, notifications, guidelines, instructions issued by the Authority.

(2)

The compliance officer must immediately and independently report any non-compliance observed by him or her to the Authority.

48.

Power of Authority to issue clarifications.

- In order to remove any difficulties in the application or interpretation of these regulations, the Authority shall have the power to issue clarifications and guidelines in the form of notes or circulars which shall be binding on the central recordkeeping agency or any person connected with it.

[Schedule I]

[Substituted by Notification No. PFRDA/12/RGL/139/7, dated 25.6.2018 (w.e.f. 27.4.2015).]

Pension Fund Regulatory and Development Authority

(Central recordkeeping agency) Regulations, 2015

{See regulation 9 (3)}

Certificate of Registration

In exercise of the powers conferred under sub-section 3 of Section 27, read with sub-section (1) of Section 21 of the Pension Fund Regulatory and Development Authority Act, 2013, the Authority hereby grants this certificate of registration to as a central recordkeeping agency on this day of This certificate shall remain valid unless surrendered by the applicant and accepted by the Authority or suspended or cancelled by the Authority.

Registration Code for this Central Recordkeeping Agency is

Date:

Place:

Authorised Signatory

II

Pension Fund Regulatory and Development Authority

(Central recordkeeping agency) Regulations, 2015

[See regulation 10 (1) (g)]

Code of Conduct

The central recordkeeping agency shall, -

(1)

Act with integrity, competence, diligence, respect, and in an ethical manner with all intermediaries and subscribers under the National Pension System or other pension scheme regulated by the Authority.

(2)

Exercise professional diligence while dealing with subscribers, which implies a standard of skill and care that is commensurate with honest market practice, good faith and the different profiles of consumers.

(3)

Prohibit from indulging in unfair conduct, which includes conduct that is misleading or abusive, while dealing with subscribers. The unfairness of any conduct shall be gauged based on whether it interferes with the ability of the subscriber to make an informed transactional decision.

(4)

Shall not disclose private/confidential information unless the prior written informed consent of the subscriber has been obtained, or the disclosure is required under law or in other identified circumstances

(5)

Have appropriate internal mechanisms to redress consumer complaints and consumers should be adequately informed of such mechanisms

(6)

Place the interests of the National Pension System and its subscribers above their own personal interests.

(7)

Be loyal to the National Pension System and use reasonable care and exercise independent professional judgment while executing its roles and responsibilities under the National Pension System.

(8)

Make full and fair disclosures of all matters that shall reasonably be expected to impair its independence and objectivity

or interfere with its duties to the National Pension System. Central recordkeeping agency must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively to Authority or National Pension System Trust.

(9)

Maintain independence and objectivity by, among other actions, avoiding conflicts of interest, refraining from selfdealing, and refusing any gift that shall reasonably be expected to affect their loyalty to the National Pension System.

(10)

Abide by all applicable laws, rules, and regulations, including the terms of the documents under National Pension System.

(11)

Maintain confidentiality and protection of National Pension System and subscriber information.

(12)

Communicate with subscribers (as may be applicable) and supervisory authorities in a timely, accurate, and transparent manner.

III

Pension Fund Regulatory and Development Authority

(Central recordkeeping agency) Regulations, 2015

[See regulation 18 (2) (c)]

Infrastructure Requirements

The following Infrastructure requirements are indicative and shall be subject to change in line with emerging technologic requirements as may be specified by the Authority.

(1)

Network Requirement. - All the components of the central recordkeeping agency network solution and the software application should be designed with resilience to maintain the 24x7 services to all the stakeholders. A checklist of resilient equipment and component should be mentioned by the central recordkeeping agency. It is the responsibility of the central recordkeeping agency to design and deploy a network to ensure 24x7 services of the software application. The functional aspects of the technical infrastructure architecture are given below, but the central recordkeeping agency is expected to give the detailed solution. Response expected from central recordkeeping agency's with regard to network solution should include the following. -

(a)

Technical overview;

(b)

Detailed Network diagram showing major components of the solution;

(c)

LAN and WAN components;

(d)

Connectivity and technical specifications with regard to connectivity;

The network solution may be designed on the scope and guidelines given below.-

(a)

Design, installation & commissioning of the LAN and WAN;

(b)

The scope of work will also include IP addressing, planning for Redundancy & Security, etc. for various locations of user access as specified by Authority;

(c)

Maintenance of network links between the stakeholders and the central recordkeeping agency's data center shall be the responsibility of the central recordkeeping agency.

(i)

The bandwidth requirements for meeting the Expected Performance Requirement should be carefully assessed by the central recordkeeping agency's;

(ii)

The special requirements of the bandwidth at peak-times on peak-dates have to be assessed for performance

complying with the Expected Performance Requirements;

(iii)

Redundancy in the form of alternative lines of connectivity like leased lines, ISDN, OFC, RF Links etc. will have to be provided for;

(iv)

An efficient system of monitoring the network performance and availability should be instituted for 24x7 functioning;

(v)

Internet bandwidth requirements at the Data Center will also have to be assessed by the central recordkeeping agency's so as to ensure compliance with the expected performance level;

(d)

All the Networking Elements (Routers, Switches and Firewall) should be from the same or compatible OEM;

(e)

Local Area Network connectivity, -

(i)

central recordkeeping agency shall design the complete LAN architecture for the application;

(ii)

central recordkeeping agency's has to plan and design the structured cabling and power cabling and all related works for the successful installation and commissioning of the LAN.

(f)

IP addressing, -

(i)

central recordkeeping agency has to design the IP-addressing schemes for the LAN and the WAN;

(ii)

central recordkeeping agency needs to design IP addressing keeping in mind the implementation of a Disaster Recovery location also.

(g)

Network Redundancy and Security, -

(i)

central recordkeeping agency must consider in the design that redundancy should be available at all critical points of the network;

(ii)

central recordkeeping agency must make sure that all primary links shall be properly backed up as required in the document;.

(iii)

central recordkeeping agency shall ensure by proper and careful design of necessary configuration & security policies for the LAN and WAN networks.

(h)

central recordkeeping agency has to be responsible for provisioning of the required connectivity services for successful and timely implementation between the Authority's location/s and its premises. It will be responsible for all service related issues which may arise with the bandwidth provider, -

(i)

central recordkeeping agency has to submit all relevant documents pertaining to the entire network, for Remote Management of the Network. This should minimally cover the User Manuals, Operation Manuals, Manufacturer Supplied Technical Documentation, Configuration of all the Network Devices, all relevant diagrams/documentation required in hard copy as well as soft-copy;

(ii)

central recordkeeping agency should provide free-of-cost orientation training for two man weeks to concerned officers of the Authority or its identified personnel in operation, testing, maintenance of hardware and software of the network equipment, interconnection details of attached hardware, general network capabilities and technologies involved and configuration and troubleshooting of the equipment.

(2)

Call center. - The subscribers of National Pension System are spread across the length and breadth of the country. In order to provide better service to them the Authority requires that the central recordkeeping agency should establish an Inbound Call Center with the following service features. -

(a)

Separate Toll free numbers for institutions and subscribers;

(b)

Interactive voice response or IVR;

(c)

Hindi / English speaking customer service executives;

(d)

Scaling up on pro-rata basis to meet the subscriber needs;

(e)

The average wait time for a caller should never exceed 3 minutes.

However, Authority may direct central recordkeeping agency on extending further services or scaling up. The Call Center strategy, delineated below, attempts to provide the right kind of services to the subscribers spread across the nation. It should be possible to scale up each component as and when growth in demand occurs. Key requirements from call centre are provided below. -

(a)

There should be a response and identification system wherein the caller will be guided through the call login process and send his identification for verification using a unique T Pin;

(b)

It should use the same database and complaint registering software which is used for call logging on the internet;

(c)

There should be provision for operator assistance and call escalation;

(d)

There should be strict adherence to declared service levels and it should be monitored by designated personnel;

(e)

Authority may if it deems fit appoint an external agency to audit the security and compliance of the service levels.

(3)

Data center. - The Data Center is the central engine on which depends the quality of services to the stakeholders. Its design, implementation and management should be well conceived by central recordkeeping agency. The data center should provide the following. -

(a)

Secure hosting;

(b)

Standard technologies;

(c)

Guaranteed service levels;

(d)

High quality support, operation and monitoring of the application;

(e)

Data and Application availability seven days a week, twenty-four hours a day;

(f)

Centralized network management and operations capability;

(g)

Facility for centralized management of enterprise client/server systems;

(h)

Custom Security options, Multiple security levels;

(i)

Backup and Archival Services;

(4)

Space/rack requirement. - The requirement of rack space should be assessed and proposed by the central recordkeeping agency with a plan to store and maintain master and transaction data.

(5)

Bandwidth Requirement. - The requirement of bandwidth should be assessed and proposed by the central recordkeeping agency in tune with the requirements taking into consideration the various redundancy mechanisms required to maintain service level compliance and uptime needs as specified by Authority.

(6)

Data center related scope of services. - The services required amongst other would fall under the following category. -

(a)

Server & application hosting;

(b)

Performance optimization

(7)

Disaster recovery center. - The Business Continuity Solution for central recordkeeping agency system should ensure delivery of services to the stakeholders in the event of complete failure of the central recordkeeping agency Data Centre. The DR site must be invoked automatically when the production site fails to provide its services. Central recordkeeping agency is required to submit a detailed architecture and components of the DR solution. DR site shall be setup and maintained by the central recordkeeping agency.

The following are the requirements of the DR site. -

(a)

The DR site should be designed as the backup (mirror) site to the production site,

(b)

central recordkeeping agency has to offer an optimized, connectivity solution from the central recordkeeping agency application site to the DR Site;

(c)

The DR Site needs to deploy the entire central recordkeeping agency application solution;

(d)

central recordkeeping agency needs to ensure that the DR Site is kept current with the latest version of the application builds, and all solution components;

(e)

central recordkeeping agency shall simulate routine tests to ensure that the fail-over to the DR Site happens, without any service downtime. central recordkeeping agency may consider running all services and transactions off the DR Site, at least once in three months, on a non-peak day;

(f)

central recordkeeping agency will have to perform DR drills every quarter of the year;

(8)

Backup and recovery. - Considering the magnitude of operations and the criticality of the data handled by central recordkeeping agency, the central recordkeeping agency has to ensure business continuity plan be put into place. For continuity of operations the Applicant needs to propose a solution for a replication site and regular risk assessment strategies. The Applicant shall put in place. -

(a)

A documented back up strategy and recovery wherein back up schedules and responsibilities are clearly laid out at an organization level;

(b)

The back-up media should be stored in a secured place and any incidence occurring due to misplacement of media should be immediately reported to Authority;

(c)

There should be a regular and updated anti-virus strategy;

(d)

All archival media should be stored in suitable facilities and one copy each of media should be stored in fire proof facilities in the premises;

(e)

There should be a copy of media stored outside the premises;

(f)

There should be regularly scheduled restore facilities to test the health of the archive backups and the media;

(g)

Back up log should be maintained for a period of two year;

(h)

All systems - applications, data tuned parameters and critical hard copy documents would be regularly backed up;
The Authority may if it deems fit conduct an audit of the backup media through its officers or through an external agency.

(9)

Disaster recovery plan. - Central recordkeeping agency must ensure the following. -

(a)

There should be a documented disaster recovery and business recovery plan with regards to its operations;

(b)

The Applicant must have a replication site at a location not in the physical proximity of the premises;

(c)

The Applicant must ensure near real time replication of the transaction data of the live server;

(d)

The replication site should be hosted with the same physical and technical security requirements as the primary sites;

(e)

There should be a documented escalation process and designated personnel who shall be responsible for contact and action in case of disaster;

(f)

There should be routine disaster response drills, the reports of which should be communicated to Authority every three months.

(g)

All systems should be adequately covered by insurance;

The Authority may if it deems fit conduct an audit of the DR site through its officers or through an external agency.

Related AI tags, queries and research notes

Translation